



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

This paper was three hours in duration and consisted of six questions. The marks allocation among the nine major topics was as follows:

1. Company Law: 30%
2. Law for Public Companies: 10%
3. Law of Tort and Negligence: 10%
4. Law of Contract: 15%
5. Law of Consumer Protection: 10%
6. Law of Employment: 10%
7. Law of Prevention of Bribery & Corruption and Anti-Money Laundering: 5%
8. Law of Agency: 5%
9. Hong Kong Legal System: 5%

This paper was set on the syllabus prescribed by HKICPA, which covers the important topics on business and company law.

Overall, candidates performed well on questions covering popular topics such as the anti-money laundering laws and the essential elements of negligence. This can be seen in Questions 3(a) and 3(b).

Candidates did well on straightforward questions which tested the rules of the passing of property (Question 2(a)), and the obligation of a substantial shareholder under the Securities and Futures Ordinance (Question 6(a)).

Some questions required the candidates to demonstrate their analytical skills and apply legal principles to case scenarios with reference to case laws and/ or legislation. Stronger candidates were able to demonstrate the analytical skills required for these questions, while weaker candidates failed to do so. More details can be found in the specific comments for Questions 1(b), 3(c), 4(a), 5(d), 5(e), and 6(b).



Specific Comments

Question 1(a) – 10 Marks

This question required the candidates to discuss whether an online advertisement is an offer or invitation to treat. However, most candidates wrongly considered the advertisement as an offer and focused on discussing an offer and its acceptance.

Question 1(b) – 5 Marks

This question required the candidates to discuss whether past consideration is valid consideration. In general, many candidates failed to identify the issue of past consideration. Some candidates discussed other irrelevant issues such as offer and misrepresentation.

Question 2(a) – 6 Marks

This question required the candidates to discuss the rules of the passing of property. Most candidates performed well on this question.

Question 2(b) – 4 Marks

This question required the candidates to discuss whether a customer can claim goods he/ she has paid for from the receivers of the seller under the law of the sale of goods. Many candidates came to the correct conclusion but did not cite the relevant case law to support their answers.

Question 3(a) – 5 Marks

This question required the candidates to discuss anti-money laundering laws of Hong Kong. As this is a straightforward question, most candidates performed well.

Question 3(b) – 10 Marks

This question required the candidates to discuss the elements of negligence and analyse whether the injured pedestrian is entitled to bring a claim against Matthew on the grounds of negligence. As this is a straightforward question, most candidates performed very well.

Question 3(c) – 10 Marks

This question required the candidates to discuss the concept of vicarious liability. Overall performance was not satisfactory. Some candidates only managed to give general discussion on employment law, which was not required in this question.



Question 4(a) – 5 Marks

This question required the candidates to discuss the law relating to undisclosed principal. Overall performance was poor. Many candidates only discussed the creation of agency, which was not required in this question.

Question 4(b) – 5 Marks

This question required the candidates to discuss the jurisdiction of the Court of First Instance. As this is a very straightforward question, most candidates performed very well.

Question 5(a) – 8 Marks

This question required the candidates to discuss the different types of directors. Overall performance was satisfactory. Most candidates were able to give correct answers.

Question 5(b) – 2 Marks

This question required the candidates to discuss the role played by Billy in BSL. Most candidates were able to give the correct answers.

Question 5(c) – 10 Marks

This question required the candidates to discuss the fiduciary duties owed by a director to BSL. Many candidates only briefly mentioned the fiduciary duties owed by the director to BSL without further elaboration and thus did not perform well. Some candidates discussed fiduciary duties owed by an employee to his/ her employer, which was not required in this question.

Question 5(d) – 5 Marks

This question required the candidates to discuss whether April was in breach of any duties owed to BSL by diverting the business of BSL to BBL. Many candidates did not discuss the breach of duties in detail.

Question 5(e) – 5 Marks

This question required the candidates to discuss the remedies available to BSL if a director was in breach of his/ her fiduciary duties. Most candidates did not discuss the remedies in detail.



Question 6(a) – 6 Marks

This question required the candidates to discuss the obligation of a substantial shareholder to disclose his/ her interests to the Hong Kong Stock Exchange and to the listed company in which he/ she owns shares. As this is very straightforward question, most candidates performed quite well.

Question 6(b) – 4 Marks

This question required the candidates to discuss the breach of the obligation of a substantial shareholder to disclose his/ her interests in a listed company. Most candidates gave their answers without sufficient explanation or elaboration.

(II) Conclusion and Recommendation

Overall, candidates performed well on popular topics such as the anti-money laundering laws, the essential elements of negligence, the different types of directors as well as the disclosure of interest requirement. However, it appears that candidates may not have sufficiently covered the syllabus in depth; thus, many did not perform well on less popular topics such as past consideration, vicarious liability and undisclosed principal.

Candidates are reminded that this paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study all important business and company law topics. It is not advisable for candidates to focus only on just two to three topics.

Some candidates showed difficulty in identifying the key issues of the questions. As a result, many candidates chose to write what they knew about the topic and failed to identify and discuss the specific issues of the questions. Candidates are reminded to apply the relevant legal principles to resolve the issues in the questions in order to score higher marks.

Most candidates were able to complete all the questions of the paper within the prescribed time, though some candidates did not answer all parts of the questions. Candidates are reminded to make a reasonable attempt to answer all questions.

As most of the topics in the syllabus, such as contract law and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case law and legislation when answering questions.